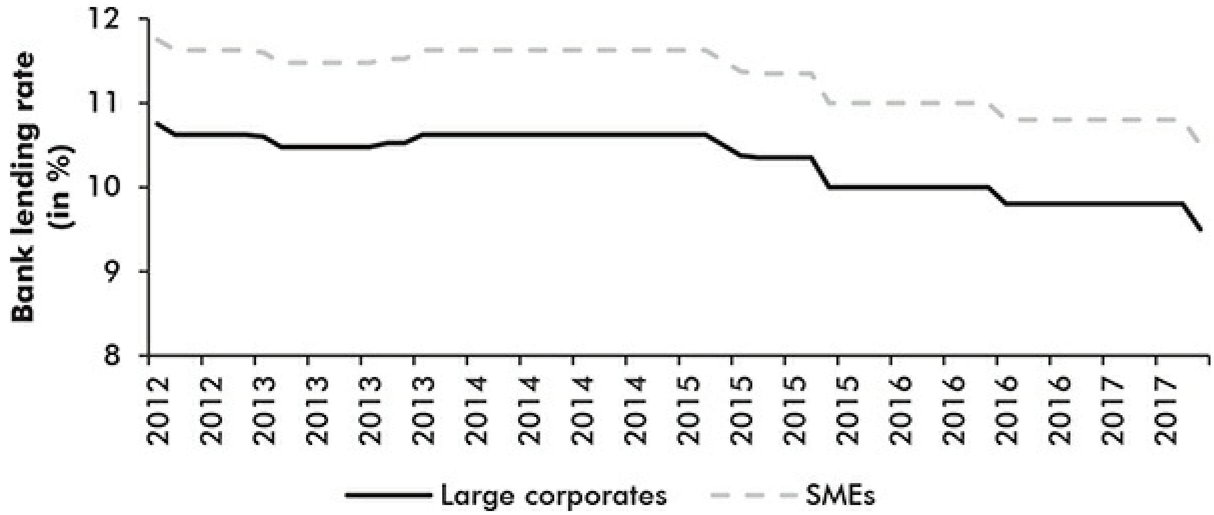
Exhibit 53: SMEs in India face higher borrowing costs from banks



Source: RBI, Ambit Capital
Note: The lending rate used is the average of the rate offered by the five largest banks in India.

The development of the corporate bond market is also likely to lower the cost of funding, especially for smaller companies; historically, smaller companies had no choice but to borrow from banks. Now, as the bond market deepens, high-quality smaller companies will increasingly be able to get cheaper credit from the bond market than from the banks. For example, a small-cap company such as La Opala seems to be borrowing money from banks at 9.65 per cent per annum (as per its FY16 Annual Report). Were the same company to borrow money from the Commercial Paper market, it would be able to lower its cost of borrowing to around 7 per cent.

Investors need professional help in identifying high-quality small-caps

In general, small companies are riskier than the larger ones. There are both fundamental as well as non-fundamental reasons for this risk.

On the fundamental side, smaller companies often stumble in trying to become big. Significant investments in systems and processes across